رَبِّ زِدْنِي عِلْماً

# MGT201

## (FINANCIAL MANAGEMENT)

## FINAL TERM MCQS

**SOLVED BY MASTERS**

# MGT201 FINAL TERM QUIZES SOLVED BY MASTERS

## QUIZ 1: MODULE 6 AND 7

**1. Cash collected from debtors is an example of:**

Select the correct option

Cash flow from operating activities

Cash flow from financing activities

Cash flow from investing activities

None of the given options

**2. Cash flows as a result of changes in accounts receivable are relevant to:**

Select the correct option

Financing activities

Investing activities

Contingent activities

Operating activities

3**. Keeping in mind the concept of market portfolio, which of the following statement is false?**

Select the correct option

The market portfolio lies on the capital market line

The market portfolio contains both systematic and unsystematic risk

The market portfolio lies on the security market line

The market portfolio includes all risky assets in the world

**4. While calculating cash flow from operating activities, we add**

Select the correct option

Non-cash expenses

All of the given options are correct

Decrease in current assets

Increase in current liabilities

**5. Which of the following is not an example of cash flows from investing activities?**

Select the correct option

Sale of equipment

Purchase of bonds of other companies

Purchase of a land

Repayment of loan

**6. Which of the following statement is true regarding covariance?**

Select the correct option

The covariance can take on any negative, positive or a zero value

The covariance is always positive because it is a squared value

The range of covariance lies between -1 to +1

The covariance can never be negative

**7. While calculating cash flow from financing activities, we subtract**

Select the correct option

Payment of long term debt

Payment of dividend

All of the given options are correct

Purchase of treasury stock

**8. Coefficient of variation is a measure of relative dispersion (risk) per unit of.**

Select the correct option

Expected volatility

Expected return

Expected risk

All of the above given options

**9. Cash flows as a result of changes in shareholders' equity are relevant to:**

Select the correct option

Contingent activities

Investing activities

Operating activities

Financing activities

**10. Interest is the cost of financing which is charged against:**

Select the correct option

Debt

Retained earnings

All of the given options

Equity

**11. Acquiring a non-current asset results in**

Select the correct option

Cash outflow from investing activities

Cash outflow from operating activities

Cash inflow from investing activities

Cash inflow from operating activities

**12. Cash flows as a result of changes in accounts receivable are relevant ta**

Select the correct option

Operating activities

Financing activities

Contingent activities

Investing activities

**13. The example of non-cash expenses includes all of the following except**

Select the correct option

Provision of bod debts

Capitol expense

Depreciation expense

Amortization expense

**14. The beta of the benchmark index or market portfolio**

Select the correct option

1.00

0.00

-100

0.50

**15. Which of the following risks best explains portfolio returns?**

Select the correct option

Diversification

Systematic risk

Specific risk

Economic factors

**16. Assume that the market risk premium is 15% risk free rate of return is 5% and beta of an asset x is 0.2. What will be the expected return of reset X under CAPMO?**

Select the correct option

8%

5%

6%

2%

**17. Cash flows generated through short term financing are part of**

Select the correct option

Operating activities

Investing activities

Financing activities

Contingent activities

**18. Coefficient of variation is a measure of relative dispersion (risk) per unit of**

Select the correct option

Expected return

All of the above given options

Expected volatility

Expected risk

**19. Cash flows on a cost of changes in fixed assets are relevant to**

Select the correct option

Investing activities

Financing activities

Contingent activities

Operating activities

**20. The beta of the risk free asset is**

Select the correct option

0.50

100

0.00

**21. Which of the following is the general assumption of Percent of Sales Forecasting?**

Current Assets usually grow in proportion to Revenues
Current Assets usually grow in proportion to Expenses
Current Assets usually grow in proportion to Liabilities
**Current Assets usually grow in proportion to Sales**

**22. In 2 years you are to receive Rs.10,000. If the interest rate were to suddenly decrease, the present value of that future amount to you would ___________.**

Select correct option:
Fall
**Rise**
Remain unchanged
Incomplete information

**23.Effective interest rate is different from nominal rate of interest because:**

Select correct option:
Nominal interest rate ignores compounding
Nominal interest rate includes frequency of compounding
**Periodic interest rate ignores the effect of inflation**
All of the given options

**25.What is a legal agreement, also called the deed of trust, between the corporation issuing bonds and the bondholders that establish the terms of the bond issue?**

Select correct option:
Indenture
Debenture
Bond
Bond trustee

**26.Which of the following would generally have unlimited liability?**

Select correct option:
A limited partner in a partnership
A shareholder in a corporation
**The owner of a sole proprietorship**
A member in a limited liability company (LLC)

**27.Why we need Capital rationing?**

Select correct option:
Because, there are not enough positive NPV projects
**Because, companies do not always have access to all of the funds they could make use of**
Because, managers find it difficult to decide how to fund projects
Because, banks require very high returns on projects

**28.What is the present value of Rs. 3,500,000 to be paid at the end of 50 years if the correct risk adjusted interest rate is 18%?**

Select correct option:
Rs.105,000
Rs.1,500,000
Rs.3975,000
**Rs. 350,000**

PV = FV/(1+rn)
PV = 3,500,000/(1+.18*50) = 350,000

**29.When the zero coupon bond approaches to its maturity, the market value of the bond approaches to which of the following?**

Select correct option:

Intrinsic value

Book value

**Par value**

Historic cost

**30.Which of the following would be considered a cash-flow item from an "operating" activity?**

Select correct option:

**Cash outflow to the government for taxes**

Cash outflow to shareholders as dividends

Cash inflow to the firm from selling new common equity shares

Cash outflow to purchase bonds issued by another company

**31.Which of the following refers to the risk associated with interest rate uncertainty?**

Select correct option:

Default risk premium

Sovereign Risk Premium

**Market risk premium**

Maturity risk premium

**32.Which of the following refers to a highly competitive market where good business ideas are taken up immediately?**

Select correct option:

Capital market

**Efficient market**

Money market

Real asset market

**33.What is the most important criteria in capital budgeting?**

Select correct option:

Return on investment

Profitability index

**Net present value**

Pay back period

**34.Which of the following statements (in general) is correct?**

**Select correct option:**

A low receivables turnover is desirable

**The lower the total debt-to-equity ratio, the lower the financial risk for a firm**

An increase in net profit margin with no change in sales or assets means a weaker ROI

The higher the tax rate for a firm, the lower the interest coverage ratio

**35.What should be the focal point of financial management in a firm?**

Select correct option:

The number and types of products or services provided by the firm

The minimization of the amount of taxes paid by the firm

**The creation of value for shareholders**

The dollars profits earned by the firm

**36.The property, plant and equipment that come under the head of "capital work in progress" are generally termed as:**

- Non-operating capital assets
- Operating capital assets
- Operating current assets

- Non-operating current assets

**37.Financial analysis of a company shows:**

- Risk factor is uncertain and cannot be measured
- None of the given option is correct
- Absolute analysis is better than relative analysis
- Comparative analysis can only be done with industry

**38.Which of the functions of financial management pertains to the management of current assets in a business?**

- Investment management
- Financial analysis
- Working capital management
- Financing activities

**39.Which one of the following functions is/are performed by the Securities and Exchange Commission of Pakistan?**

- Promotes economic growth through investment
- Provides agency and advisory services to the government
- All of the given options are correct
- Protects foreign exchange balances

**40.Which one of the following statements is true in the context of financing activities?**

- The fund providers expect a return against the finances provided to a company
- Companies normally go for only long-term financing to run their operations
- Equity and debt financing are of same nature with only time frame differences

- The external and internal sources of financing are mainly provided by the owners of a company

**41.All of the following are included in credit policy of receivable management. EXCEPT:**

- Stretching the receivables collection period if payable period is less
- Managing the collection cost of receivables
- Extend the credit period if it promotes sales
- Offering cash discounts for early recovery of receivables

**42.Those institutions are not regulated like banks but provide financial services are called:**

- Non-banking financial companies
- Commercial banks
- Federal bureau of revenue
- Development finance institution

**43.Which one of the following is not the type of Development Finance Institution?**

- Commercial banks
- Microfinance banks
- Bilateral development institutions
- Credit unions

**44.Which of the following options correctly explains investing activities of a business?**

- Buying of bonds and shares from stock market is pertinent to investing activities

• Required rate of return on investments is regardless of cost of financing

• None of the given option is correct

• Investing activities are only concerned with long term investment options

**45.Which of the following financial management activities is concerned with effective and efficient investment of funds?**

• Financing activities

• None of the option is correct

• Investing activities

• Operating activities

**46.Which one of the following is NOT the part of working capital of a business?**

• Accounts receivables

• Inventories

• Stores and spares

• Fixed assets

**47.The factor that differentiates the net working capital from gross working capital is:**

• Cash and cash equivalent

• Fixed assets

• Current liabilities

• Current assets

**48.Arranging funds from different available sources for smooth operation of a business is linked with:**

• Investing activities

- None of the given option
- Financing activities
- Operating activities

**49.The role of financial manager in a business includes:**

- Both the given statements are correct
- Deciding the optimal level of inventory to maintain in warehouse
- Maximizing the profit from inventory while minimizing its cost
- None of the given statements is correct

**50.The role of development financial institutions is to provide funds:**

- All of the given options are correct
- For non-commercial use
- For the development of emerging economies
- To support economic development of countries

**51.Which one of the following statements is NOT true in the context of financing activities?**

- There is a cost attached to the funds borrowed for financing
- Lenders can only provide internal source of financing
- Companies can go for both equity and debt financing to finance their business
- Funds can be borrowed for both short term and long-term purposes

**52.Which of the following claims about equity financing is correct?**

- Profit earned by a business is an internal source of equity financing
- Equity financing can only be obtained through external sources of financing

• Preferred shareholders provide more funds than common shareholders to a business

• Dividend rate for both preferred and common share holder is same

**Mgt201 quiz 2**

**Module 8, 9**

**1. Which of the following is correct formula for contribution margin ratio?**

Select the correct option
Sales / Variable costs
Fixed cost / Contribution margin per unit
Sales / Contribution margin per unit
Total contribution margin/ Sales

**2. Which of the followings is/are the example(s) of capital expenditures?**

Select the correct option
Purchase of new fixed asset
All of the given options
Replacement of existing fixed asset
Investment in alteration of fixed assets

**3. Which of the following costs are associated with inventory?**

Select the correct option
All of the given options
Holding costs
Inventory purchase price
Re-order costs

**4. Which of the following is/are motives of holding cash?**

Select the correct option

Precautionary
Speculative
All of the given options

**5. Assume, ABC Company was following conservative working capital policy and now it wants to move to an aggressive policy. As a result of this shift in policy, the company should expect which of the following?**

Select the correct option
Expected profitability will increase, while risk will decrease
Decrease in liquidity, while expected profitability will increase
Both risk and profitability will decrease
Both risk and liquidity will increase

6. **Which of the following is correct formula for per-unit contribution margin?**

Select the correct option
Total contribution margin/ Sales
Fixed cost / Contribution margin per unit
Sales / Contribution margin per unit
Sales per unit - Variable cost per unit

**7. Which of the following is(are) used for estimating cash flows?**

Select the correct option
All of the given options
Terminal Cash Flow
Initial Cash
Outflow
Incremental Cash Inflow

**8. Which of the following statement is TRUE in regards to hedging approach to financing working capital?**

Select the correct option

Financing the long term needs of the business through short term debt

Financing the short term needs of the business through short term debt

Financing the short term needs of the business through long term debt

Financing the seasonal needs of the business through long term debt

**9. Which of the following is not an inventory?**

Select the correct option

Semi-finished goods

Equipment

Consumable tools

Raw material

**10. All of the following are depreciation methods, Except:**

Select the correct option

Specific Identification Method

Straight Line Method

Declining Balance Method

Units of Output Method

**11. Which of the following statement is TRUE in regards to hedging approach to financing working capital?**

Select the correct option

Financing the seasonal needs of the business through long term debt

Financing the long term needs of the business through short term debt

Financing the short term needs of the business through long term debt
Financing the short term needs of the business through short term debt

**12. Lead time is defined as:**

Select the correct option

Length of time between ordering and receiving inventory order

Length of time before stock out

Length of time it takes to order inventory

Time before production is assumed

**13. Which of the following is correct formula for per-unit contribution margin?**

Select the correct option

Sales per unit - Variable cost per unit

Sales / Contribution margin per unit

Total contribution margin/ Sales

Fixed cost / Contribution margin per unit

**14. What will be NPV of a project if PV of cash inflows is Rs. 550,000 and initial investment is Rs. 600,000?**

Select the correct option

Rs. 1,150,000

Rs. 550,000

Rs. 600,000

Rs. 50,000

**15. Which of the followings is true with respect to straight line method of depreciation?**

Select the correct option

None of the given options

Depreciation expense increases every year

Depreciation expense decreases every year

Depreciation expense remains constant every year

**16. Generally, gross working capital is defined as:**

Select the correct option

Current assets

Current liabilities

Total assets

Current assets minus current liabilities

**17. Assume, ABC Company was following conservative working capital policy and now it wants to move to an aggressive policy. As a result of this shift in policy, the company should expect which of the following?**

Select the correct option

Both risk and liquidity will increase

Expected profitability will increase, while risk will decrease

Both risk and profitability will decrease

Decrease in liquidity, while expected profitability will increase

**18. Which of the following statement is true in regards to "2/15 net 30"?**

Select the correct option

A 2% discount will be given if payment is made within 15 days

A 2% discount will be given if payment is made within 30 days

A 15% discount will be given if payment is made within 15 days

A 15% discount will be given if payment is made within 30 days

**19. Gross working capital can further be classified according to:**

Select the correct option

Rate of return and financing method

Time and rate of return

Time and financing method

Time and components

**20. Which of the following statement is TRUE, if contribution margin is positive?**
Select the correct option
Loss will occur if the contribution margin is higher than fixed expenses
Profit will only occur if the contribution margin is less than the fixed expenses
Profit will occur
Both profit and loss can occur
21. Which of the following is/are types of inventory?
Select the correct option
Finished goods
All of the given options
Work in process
Raw material
**22. Which of the following statement is TRUE in regards to aggressive approach to financing working capital?**
Select the correct option
Financing the short term needs of the business through long term debt
Financing the inventory of the business through long term debt
Financing the long term needs of the business through short term debt
Financing the seasonal needs of the business through short term debt
**23. Which of the following statement is TRUE in regards to hedging approach to financing working capital?**
Select the correct option
Financing the short term needs of the business through short term debt

Financing the short term needs of the business through long term debt
Financing the seasonal needs of the business through long term debt
Financing the long term needs of the business through short term debt

**24. Assume, ABC Company was following conservative working capital policy and now it wants to move to an aggressive policy. As a result of this shift in policy, the company should expect which of the following?**

Select the correct option
Both risk and profitability will decrease
Both risk and liquidity will increase
Expected profitability will increase, while risk will decrease
Decrease in liquidity, while expected profitability will increase

**25. All are the examples of non-cash items EXCEPT:**

Select the correct option
Financial charges
Bad debts
Depreciation
Amortization

**26. Gross working capital can further be classified according to:**

Select the correct option
Time and components
Rate of return and financing method
Time and financing method

**27. All of the following are depreciation methods, Except:**

Select the correct option
Specific Identification Method

Straight Line Method
Units of Output Method
Declining Balance Method

**28. Which of the following statement is TRUE, if contribution margin is positive?**

Select the correct option
Loss will occur if the contribution margin is higher than fixed expenses
Profit will only occur if the contribution margin is less than the fixed expenses
Profit will occur
Both profit and loss can occur

**29. Generally, net working capital is defined as:**

Select the correct option
Current assets
Total assets
Current liabilities
Current assets minus current liabilities

**30. Which of the followings is/are the example(s) of capital expenditures?**

Select the correct option
Purchase of new fixed asset
Investment in alteration of fixed assets
Replacement of existing fixed asset
All of the given options

1. **Which of the following theory states that value of a firm is independent of its capital structure.**
   Select the correct option
   All of the given options
   Net operating income theory
   Traditional theory
   Bird in hand theory
2. **_________ is a cost to produce one** more unit.

Select the correct option
Total cost
All of the given options
Variable cost

Fixed cost

3. **Which of the following formula can be used to calculate Break-even sales?**

Select the correct option
Break-even sales = Variable cost / contribution margin percentage
Break-even sales = Sales / contribution margin percentage
Break-even sales = Fixed cost / sales
Break-even sales = Fixed cost / contribution margin percentage

4. **Which of the following is known as theory of relevance?**

Select the correct option
Bird in hand theory
All of the given options
Traditional theory

Net operating income theory

**5. Arbitrage involves simultaneous buying and selling of assets to take advantage of ________ of the same assets.**
Select the correct option

Equal prices
None of the given options
Similar prices
Different prices
**6. Securities issued to offer specified rate of return are classified as:**
Select the correct option
Debentures
All of the given options

Debt instruments
**7. Profit equation for a company extracted after CVP analysis is: Profit = 40Q -20Q -100,000How many number of units company should produce to reach at break-even point?**
Select the correct option
15000
5000
4000
10,000
**8. What will be YTM of a 10 years Rs. 1000 face value bond which is paying a coupon of Rs. 100 and bond is currently selling at Rs. 950?**
Select the correct option
None of the given options
12.25%
15%
10.76%
**9. What will be weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)?**

Select the correct option
18%
15%
None of the given options
13.875%

**10. Operating leverage is created because of _________ operating cost.**

Select the correct option
Variable Total
None of the given options
Fixed

**11. A company with interest charges will pay tax.**

High, less
Less, high Less,
Less High,
High

**12. Arbitrage involves simultaneous buying and selling of assets to take advantage of ________ of the same assets.**

Similar prices
Different prices
None of the given options
Equal prices

**13. Which of the following is the general assumption of capital structure theories?**

No taxes
All of the given options
Cost of debt < cost of equity

There is no change in risk perception of the investors with the change in capital structure

14. Capital asset pricing model takes into account:

Market return

Risk free rate of return

Beta

All of the given options

**15. Which of the following statement is incorrect regarding variable cost?**

Variable cost is also known as marginal cost

Variable cost changes with the change in production level

Variable cost does not change with the change in production level

Per unit variable cost does not change with production level

**16. __________ is also termed as marginal cost.**

Select the correct option

Total cost

Fixed cost

All of the given options

Variable cost

**17. Operating cost does not include:**

Direct production

Financial cost

Selling and marketing expenses

General selling and administrative expenses

**18. Leverage is the use of fixed cost to enhance profits; the fixed cost can be:**

Both operating and Financial

Marginal

Financial

Operating

**19. Which of the following is known as theory of relevance?**

Bird in hand theory

Traditional theory

All of the given options

Net operating income theory

**20. Which of the following formula can be used to calculate ratio of contribution margin?**

Contribution margin ratio = Contribution margin / fixed cost

Contribution margin ratio = Contribution margin / sales

Contribution margin ratio = Contribution margin *sales

Contribution margin ratio = Fixed cost / sales